AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS 2022

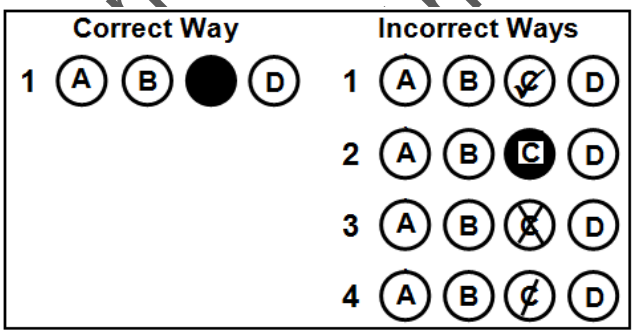
Banking

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a scientific calculator if you wish.

1. Shariq Limited wants to open a commercial bank.

   The sequence to be followed by Shariq Limited for establishing a bank under Companies Ordinance 1984 of Pakistan will be

	Initial →		**Final**
A	promotion	registration	commencement
B	registration	commencement	promotion
C	commencement	promotion	registration
D	promotion	commencement	registration

2. The document issued to invite the general public to buy shares of the commercial bank is termed as

   A. articles of association.
   B. certificate of incorporation.
   C. memorandum of association.
   D. prospectus.

3. Salta bank offers special incentives such as discounts, lower fees and interest rates, as well as other benefits to those business houses that will open bank accounts of their employees in their respective branches.

   The form of banking system reflected in the given description is

   A. branch banking.
   B. corresponding banking.
   C. group banking.
   D. unit banking.

4. The process of evolution of money was initiated through the barter trade system.

   The phase that followed barter trader is known as the age of

   A. commodity money.
   B. credit money.
   C. metallic money.
   D. paper money.

5. After an interview, Samad, a bank representative, made the final negotiation about salary and benefits with the candidate.

   Based on the given situation, the department for which Samad works is a/ an

   A. audit department.
   B. human resource department.
   C. legal department.
   D. public relation department.

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6. Following are the features of a bank:

- It is created by numerous banks to fund a project that involves huge amount of money.
- It is created to leverage the assets of individual banks.

The given descriptions refer to

A. agricultural banks.
B. consortium banks.
C. exchange banks.
D. mortgage banks.

7. A department that investigates the market risks that a bank might have and keeps an eye on its liquidity and market status is the

A. audit department.
B. foreign exchange department.
C. research and development department.
D. security department.

8. A group of friends want to form a public limited bank. To register their bank, they are trying to gather the minimum number of promoters.

With reference to companies' ordinance, the minimum number of promoters they should gather for the registration of the bank is

A. 2
B. 3
C. 7
D. 9

9. The secondary function of a commercial bank that is considered as a MAJOR function for bringing economic growth in the country is

A. capital formation.
B. collection of utility bill.
C. discounting of bill of exchange.
D. purchase of government securities.

10. Abrar received an intimation from the bank to avail the facility of paying monthly fees of his children and rent of his house directly from his bank account. The bank will intimate Abrar about these payments.

The facility provided by the bank is TYPICALLY referred as

A. underwriter's facility.
B. mortgage facility.
C. overdraft facility.
D. standing orders facility.

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11. Amin receives a notification from the bank as his bank account will be terminated for further operations.

The POSSIBLE reason for the termination of the account will be

(**Note**: CNIC = Computerised National Identity Card and FBR = Federal Board of Revenue.)

A. the closure of the branch by the bank.
B. the expiry of his CNIC.
C. his non-filer status at FBR.
D. a notice received from the court.

12. Read the following features:

- There is a minimum initial deposit of a certain amount.
- It is a non-remunerative account.
- If the balance in account remains 'nil' for a six-month period, then the account will be closed.

The type of bank account mentioned in the given features is classified as

A. saving account.
B. current account.
C. fixed deposit account.
D. profit and loss account.

13. As per the State Bank of Pakistan (SBP), the pre-requite for opening an individual's bank account is

(**Note**: CNIC = Computerised National Identity Card, NOC = Non-Objection Certificate and FBR = Federal Board of Revenue.)

A. CNIC or Form-B verification and authentication.
B. a minimum age of 18 years.
C. an NOC from the registry or civil court.
D. inclusion of individual in the active tax filer list of FBR.

14. Afshan is an entrepreneur. She would like to open a bank account where she can deposit her amount for future use and can earn some return too.

The MOST suitable account for this purpose is

A. current account.
B. home saving account.
C. salary account.
D. saving account.

15. Which of the given statements CORRECTLY reflects the relationship between a customer (i.e. account holder) and a bank?

A. Deposits of the customer are the capital of the bank.
B. Deposits of the customer are the liability of the bank.
C. Withdrawals by the customer are the capital of the bank.
D. Withdrawals by the customer are the expense of the bank.

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16. Deham Bank has leased a motor vehicle to Hira without marking any security against the vehicle. The car will remain under Hira's possession.

In the given situation, the status of Deham would be of a

A. bailor.
B. mortgager.
C. pawner.
D. principal.

17. At the time of opening a bank account, a company should submit all of the following documents EXCEPT the

A. articles of company.
B. certificate of commencement.
C. certificate of incorporation.
D. list of shareholders and their approval.

18. One of the primary functions of the commercial bank is to

A. advance loans to the customers.
B. advance loans to the government.
C. borrow money from other commercial banks.
D. borrow money from the central bank.

19. Bravo bank has collected 50,000 share applications from the general public on behalf of ABC Company.

The service being provided by the bank is categorised as a/ an

A. utility service.
B. agency service.
C. consultancy service.
D. foreign exchange service.

20. The bank that determines the interest rate in the economy is the

A. central bank.
B. commercial bank.
C. foreign exchange bank.
D. industrial bank.

21. The specific percentage or ratio of deposits that are maintained by all the commercial banks with the central bank is known as

A. cash reserve.
B. exchange reserve.
C. liquidity fund.
D. registration fund.

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22. The option that CORRECTLY categorises the qualitative and quantitative methods of credit control in an economy is

	Qualitative Method	Quantitative Method
A	publicity	bank rate
B	direct action	publicity
C	credit rationing	direct action
D	bank rate	credit rationing

23. Generally, central banks provide loan facilities to

A. government agencies and institutions.
B. individuals.
C. private limited companies.
D. trade unions.

24. A credit instrument is used for short-term borrowing by the government. This instrument acts as a promissory note with a pre-defined rate of return (interest/ discount rate).

This credit instrument is classified as

A. bill of exchange.
B. bill of lading.
C. letter of credit.
D. treasury bill.

25. The government of a country increases the money supply. The increase in money supply results in an increase in the bank deposit from Rs 200,000 to Rs 350,000.

If the cash reserve ratio remains constant at 10%, then the net change in credit creation would be

A. Rs 1,500,000
B. Rs 2,000,000
C. Rs 3,500,000
D. Rs 5,000,000

26. A bank receives an initial deposit of Rs 50,000. Initially the cash reserve ratio was 10%.

If the cash reserve ratio has been increased by 50%, then the revised credit creation would be

A. Rs 166,667
B. Rs 250,000
C. Rs 333,333
D. Rs 500,000

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27. The MAJOR objective of monetary policy in a developing country is to

A. get international funding for social projects.
B. provide access to the justice.
C. regulate law and order of the country.
D. stabilise the exchange rates.

28. The central bank of a country is planning to expand its monetary policy.

In the given situation, the MOST likely action of the central bank would be to

A. increase cash reserve ratio.
B. increase interest rate.
C. purchase government securities.
D. sell government securities.

29. Which of the following will MOST LIKELY increase the cash reserve ratio?

A. An increase in the amount of advances by the banks
B. An increase in the number of account holders
C. An increase in the deposit of local customers and businesses
D. An increase in the size of average advances

30. To control inflation, the central bank takes all of the following measures EXCEPT

A. decreasing cash reserve ratio requirement.
B. decreasing government spending on developmental projects.
C. increasing interest rate.
D. increasing budget surplus.

31. The central bank of a country expands and contracts the money supply by selling and purchasing securities.

The given tool of monetary policy is known as

A. cash reserve rate policy.
B. discount rate policy.
C. moral persuasion.
D. open market operations.

32. Saad issued a promissory note of Rs 150,000 to Zahid. Zahid endorsed the note to Tabish. On the date of maturity, the note was dishonored and was noted by the notary public.

In the given situation, the ultimate responsibility to pay against the note lies with

A. Notary public.
B. Saad.
C. Tabish.
D. Zahid.

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33. If a bill of exchange is paid by the drawer before the maturity, then this is termed as

A. acceptance of bill of exchange.
B. discounting of bill of exchange.
C. maturity of bill of exchange.
D. retirement of bill of exchange.

34. Hafsa issued a negotiable instrument to Samina. The date of maturity on the instrument was of three months after the issue date.

If this instrument allows a grace period of three days, then the negotiable instrument issued is termed as

A. bill of exchange.
B. cheque.
C. promissory note.
D. treasury bill.

35. Rafay issued a bill of exchange of Rs 50,000 to Amir. The bill was accepted by Taha. Taha paid the amount due on the bill to Amir before the date of maturity.

With reference to parties of bill of exchange, Amir will be classified as

A. drawee.
B. drawer.
C. holder in due course.
D. payee.

36. To receive the amount written on the cheque, Jamal must prove his identity to the bank.

The type of cheque referred in the given situation is

A. bearer cheque.
B. blank cheque.
C. cross cheque.
D. ordered cheque.

37. Which of the following statements describes the CORRECT difference between cheque and bank draft?

	Cheque	Bank Draft
A	It is a document issued by an individual.	It is a document issued by a bank.
B	Drawer and drawee are different persons.	Drawer and drawee are same persons.
C	It can be dishonored.	It cannot be dishonored.
D	It is always payable on order of a certain person.	It can be payable either to a bearer or on order of a certain person.

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38. Aleem endorses the promissory note of Rs 65,000 to Ansaar. This note contains date of payment, amount and signature but does not have Ansaar's name on it.

The type of endorsement referred in the given scenario is

A. conditional endorsement.
B. general endorsement.
C. partial endorsement.
D. special endorsement.

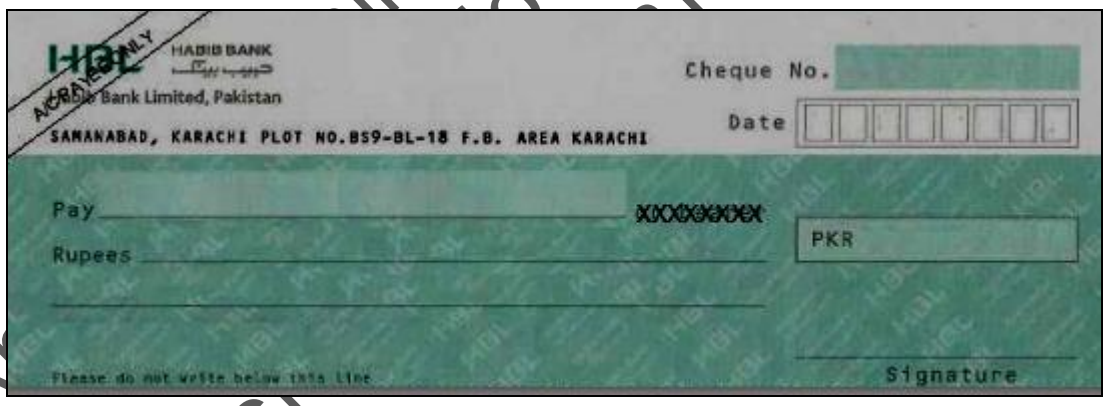
39. Read the following statements:

- This card is used by the buyer at the time of purchase or point of sale.
- This allows customers to gain points of discount of a very small amount.
- It is issued normally by businesses rather than a bank.

The given statement classifies the card to be a

A. credit card.
B. debit card.
C. loyalty card.
D. smart card.

40. Given is the specimen of a cheque.



The type of crossing on the cheque is classified as

A. general crossing.
B. non-negotiable crossing.
C. restrictive crossing.
D. special crossing.

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41. Which of the following statements DOES NOT describe the difference between bill of exchange and promissory note?

	Bill of Exchange (BoE)	Promissory Note
A	Three parties are involved i.e., drawer, drawee and payee.	Two parties are involved i.e., drawer and payee.
B	Multiple copies are made.	It cannot be drawn in copies.
C	Notice is not necessary to be given to the maker.	Notice is necessary to be given to all the parties involved.
D	It is a written promise to pay.	It is a written order to pay.

42. A bill of exchange becomes valid when it is signed by

A. drawee and endorsee.
B. drawer and drawee.
C. drawer and payee.
D. payee and endorsee.

43. In international trade, purchasing power parity (PPP) index indicates the ability of a currency to purchase in two different countries by comparing the

A. measuring units of a specific good.
B. price of different goods.
C. quality of sold goods.
D. quantity of goods bought on a similar value.

44. A Pakistani business named Amir Traders sends the payment of 2,000 mobile phones bought from Ni Hoa Traders China by a post office.

The mode of payment mentioned above is classified as

A. international bank draft.
B. international money order.
C. letter of credit.
D. traveller's cheque.

45. Country A and Country B have signed a trade agreement to facilitate bilateral trade in accordance with a predetermined or specific rate of exchange. They have agreed to convert short term debts from the debtor country into long term credit.

This mutual understanding of exchange control is considered as

A. rationing of foreign exchange.
B. compensation agreement.
C. exchange pegging.
D. standstill agreement.

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46. Suppose that a foreign remittance of £ 200,000 was received by Pakistan during a certain year.

Consider that £ 1 is equal to Rs 234 and $ 1 is equal to Rs 165.

The amount of remittance in terms of dollar would be

A. $ 141,025
B. $ 283,636
C. $ 33,000,000
D. $ 46,800,000

47. With reference to foreign trade, the difference between the total imports and exports of goods is termed as

A. balance of payments.
B. balance of trade.
C. equilibrium of budget.
D. equilibrium of exchange rate.

48. If a foreign automobile company establishes a car manufacturing plant in Pakistan, then this will be recorded in the

A. capital account.
B. current account.
C. financial account.
D. trade account.

49. To improve balance of payments, the government of an underdeveloped country has opted for devaluation of its currency.

If used carefully, this technique will

A. decrease both imports and exports.
B. decrease the price of exported goods and services.
C. increase both imports and exports.
D. increase the price of exported goods and services.

50. The government of an underdeveloped country can increase the foreign investment by

A. allowing free out flow of revenues.
B. fixing the price of each imported item.
C. increasing custom duty on raw materials.
D. providing loan facility to domestic industries.

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END OF PAPER

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